deposits from the public. They subscribe the shares and debentures of the industries. They provide technical and managerial consultancy services to industrialists. IDBI Bank established as the apex development bank in I964 and was transformed into public sector commercial bank in 2004. Currently it performs both development bank and commercial bank functions. Its name changed into IDBI Bank Limited in 2008. When a development bank is established for the development of agriculture industry it is called agricultural development bank. National Bank for Agriculture and Rural Development is such a bank

Examples:

i. Industrial Finance Corporation of India - IFCI
ii. Small Industries Development Bank of India -SIDBI
iii. MUDRA bank (for the development of micro industries)

4. Cooperative Banks

All cooperative banks in India are owned by its customers or members who are farmers, small traders and others. Cooperative banks in India are either urban based or rural based. Rural cooperative banking structure in India has three tier structure for short term loans and two tier structure for long term loans (refer chart). For both these structures the apex body is National Bank for Agricultural and Rural Development - NABARD. All cooperative banks in Tamil Nadu are registered under Tamil Nadu Cooperative Societies Act 1983. They are controlled by both RBI and the State Government. Their foremost objective is providing service to its members for rural and agricultural development and not profit earning. They are set up in towns and villages rather than cities. Compared to the commercial banks they offer less variety of services as the bye laws do not permit all commercial bank activities. National Cooperative Development Corporation (NCDC) established in 1963 is providing loans and grants to State Governments for financing cooperative societies. NCDC concentrates on projects like water conservation, irrigation, agri-insurance, rural sanitation, etc.

Examples:

i. National Agricultural Cooperative Marketing Federation of India Ltd. (NAFED) was set up in 1958 and registered under the Multi State Co-operative Societies Act.
ii. Tamil Nadu State Apex Cooperative Bank - Head Office, Chennai
iii. Madurai District Central Cooperative Bank Ltd.
v. Batlagundu Cooperative Urban Bank Ltd. Dindigul District

5. Foreign Banks

Banks which have registered office in a foreign country and branches in India are called foreign banks. These banks open their offices in big cities and port towns only. Mostly they serve the interests of the multinational companies, employees and other business institutions. Their profitability is higher than Indian banks. In 2017, there were 42 Foreign Banks in India and all of them were scheduled banks. They have to oblige both their home country banking regulations and the RBI regulations.

commerce 1-15.indd 98 2/17/2021 4:48:58 PM